



FUELLING FIRE

1998-1999

NDA government allocates gas to Kings Power and Kings Chemicals. Baalu and his family are shareholders in the two companies. Allocation lapsed in 2003.

JUNE 2006

Baalু meets petroleum minister and GAIL CMD Choubey to lobby for gas.

NOVEMBER 2007

The minister's son and director, Kings India Power, S. Baalu writes to the PMO asking for gas allocation.

FEBRUARY 2008

Director PMO Ashish Gupta, writes to the Petroleum Ministry about Baalu junior's case. He cites a PMO office ID note dated November 13, 2007 and six other PMO reminders.

APRIL 2008

The matter is raised in the Parliament by the AIADMK. Baalu says he has done nothing wrong but the Opposition demands a clarification from the prime minister. The Congress says the PMO did not endorse Baalu's case.

UNEASY LINK: Baalu (left) and Manmohan Singh

Cauvery basin was awarded to the two companies by the NDA-led government in 1998-99, the allocation had lapsed. Apart from the questionable stand of a Central minister using his powers to obtain concessions for his own family, the PMO too has been dragged into this mess for "forwarding" Baalu's request.

The Opposition has demanded that all the ministers concerned—including the prime minister—give a clarification before the Parliament. After Baalu's unapologetic admission, the Government waited four days before it fielded Petroleum Minister Murli Deora to bail out Baalu and the PMO. "Every day we get requests from people. If somebody tells me that this is a question of 2,000 people losing their jobs, I will call people, I will ask my officers to help. We are here to help, not harass people...there is no nepotism involved," said Deora. He told the Parliament that the PMO had only made 'certain references in a routine manner' but not issued instructions. The BJP is not convinced. "We will not be satisfied with Murli Deora's explanation. We want the prime minister to clarify in the Parliament," says Sushma Swaraj, BJP leader.

This is not the first time that Baalu has clashed with the Congress. Just recently when the Sethusamudram shipping channel project ran into controversy on the question of whether Adam's Bridge which could be damaged by the project was a natural or a man-made formation, both Baalu and the Congress differed on its continuation. Eager to pander to a popular Hindu belief that Adam's Bridge was built by Lord Ram, Congress wanted to delay the project until a proper study could be undertaken. For his part, Baalu stuck to DMK's line that the bridge was a natural formation and pushed for its early completion.

The DMK knows that it has the upper hand in the coalition arithmetic. And it is not scared of using its clout. On an earlier occasion too, it succeeded in forcing the Government to roll-back its disinvestment plans for the Neyveli Lignite Corporation. Manmohan's silence itself is an indication of how little room he has to manoeuvre in this Government. So what if his personal image takes a beating in the bargain?

with Nivedita Mukherjee and Shyamal Yadav

WORD TO THE PETROLEUM MINISTRY... WITH THAT?"

T.R. BAALU, SHIPPING MINISTER

letter written on February 4, 2008 by Ashish Gupta, a director in the PMO, to the petroleum secretary. This refers to a letter written to the PMO by S. Baalu, director, Kings India Power (and the minister's son) asking for gas allocation. The PMO's letter also refers to six other reminders sent by that office to the Petroleum Ministry.

Opposition parties say this is a clear case of pressure tactics and that Baalu

has used his ministerial power to grab concessions for his son's companies. The minister justifies his actions alleging a conspiracy by NDA. "In 1999, Kings High Power had entered into an agreement with GAIL for the supply of 10,000 cubic metres of gas. But the gas company went back on its word as part of revenge taken by the NDA government and the BJP as I had quit the alliance in 2003," he says. Although, gas from the